Bain Squared

Intangibles Value Advisory Report

The Intangible Asset Discovery Guide

Prepared for founders and finance leaders who want to understand and formally map the true value of their business assets for strategic planning and stakeholder reporting.

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Important notice: This report is general guidance based on assessment responses. It is not a valuation report, investment advice, legal advice, tax advice, or a commitment to support fundraising. Bain Squared does not guarantee funding, investor interest, valuation uplift, or transaction completion. Formal advice requires a separate engagement and review of source documentation.

Your Assessment Summary

Based on your responses, your business has built significant value in areas like brand, customer relationships, software, or IP. Even without an immediate transaction, mapping these assets gives you a clearer picture of your competitive advantage and provides a defensible narrative for your board, bank, or partners.

Section 01

Your business has strong intangible assets worth reviewing.

Many businesses build meaningful value in areas such as brand, customer relationships, software, and intellectual property long before a transaction occurs. You may not be actively selling the business, but that does not make the value less important.

Intangible assets are often the difference between a business that looks ordinary on paper and a business that has real strategic leverage. They explain why customers come back, why margins hold, why competitors struggle to copy what you do, and why future buyers, investors, banks, or boards may view your company as more defensible than the financial statements alone suggest.

This guide explains how intangible assets are formally reviewed, why mapping them early creates a strategic advantage, and what evidence you should begin gathering before a transaction, financing discussion, or board level valuation question becomes urgent.

Section 02

What a Sum of Parts Valuation Actually Means.

A standard financial valuation usually starts with revenue, EBITDA, profit, growth rate, and comparable market multiples. That is useful, but it mainly captures the operating business as reflected through the income statement.

A sum of parts valuation goes one layer deeper. It separates the value of the operating business from the value of specific intangible assets that support that business. Your financial multiple captures what the business earns today. Your intangible asset valuation captures the additional economic value created by assets such as brand equity, customer relationships, proprietary software, data, contracts, and intellectual property.

This is not about inflating a valuation number. It is about making visible what already exists but is not clearly reflected in your profit and loss statement. A company valued at 2 times EBITDA on financials alone may support a stronger valuation when brand strength, customer stickiness, proprietary systems, or recurring contractual relationships are formally evidenced and valued as separate components.

Example

Brand and intellectual property are commonly assessed using a relief from royalty approach. Customer relationships are often reviewed through an excess earnings method. Software, data assets, and proprietary technology may be evaluated through income based approaches that consider the incremental cash flows, cost savings, or strategic advantage created by the asset.

Section 03

Why Discover Value Before You Need It?

Undocumented value is usually treated as unsupported value. That becomes a problem when the company enters a fundraising process, M&A discussion, bank financing review, shareholder conversation, or strategic planning cycle where valuation suddenly matters.

By the time a transaction is live, there is rarely enough time to build the evidence properly. Buyers and investors will ask for customer data, brand evidence, contract quality, technology documentation, IP ownership records, and financial linkage between the asset and commercial performance. If that evidence has not been gathered, the conversation becomes defensive. The business may still have value, but the valuation case becomes harder to prove.

Mapping intangible assets early gives management a sharper view of where value is actually being created. If customer relationships are the strongest asset, then retention, renewal quality, and concentration risk should be tracked more carefully. If proprietary software is the asset, then documentation, usage data, replacement cost, and productivity impact matter. If brand is the asset, then customer preference, pricing power, awareness, and reputation signals need to be measured instead of assumed.

This changes how the business is managed. The exercise is not only for future valuation reports. It helps founders and management teams decide where to invest, which assets to protect, what evidence to preserve, and which parts of the business deserve more strategic attention.

Section 04

What Good Evidence Looks Like.

Strong intangible asset evidence connects the asset to commercial outcomes. The table below sets out the main categories Bain Squared would typically review during an intangible asset discovery exercise.

Asset Type	What You Should Start Tracking
Brand	Customer survey data, Net Promoter Scores, brand recognition indicators, referral sources, and evidence that you can charge a premium over competitors.
Customer relationships	Churn rates, repeat purchase data, customer concentration, account expansion, customer tenure, and renewal behaviour.
Recurring revenue	The percentage of revenue that comes from subscriptions, retainers, recurring contracts, automatic renewals, or repeat customer behaviour.
Software and technology	Documentation of internal tools, product systems, and measurable cost or time savings compared with manual alternatives.
IP, trademarks, and know how	Registration certificates, licence agreements, proprietary methods,

	technical documentation, evidence of active use, and ownership records.
Contracts	Signed agreements, contract value, renewal terms, exclusivity rights, customer quality, contract length, and termination provisions.

Section 05

What to Do Next.

Step 1	**Build your asset map.** List every asset your business has built that does not show up clearly in your financial statements. Start with brand, customer relationships, software, data, intellectual property, contracts, and repeatable operating processes.
Step 2	**Gather existing evidence.** Pull together customer data, renewal records, technical documentation, brand materials, contract files, IP registrations, pricing history, and process documentation. The evidence does not need to be perfect. It needs to exist in one place.
Step 3	**Identify the strongest valuation candidates.** Look for assets that clearly influence revenue, margin, customer retention, pricing power, operational efficiency, or competitive defensibility. These are the assets most likely to matter in a future valuation discussion.

Section 07

Want to map your intangible assets?

We will review your asset map, identify which intangibles are driving your business value, and scope a formal value discovery session.

Book a call with Bain Squared here.